

Please reduce all stipulations to writing. The stipulations will be marked as a court exhibit and deemed admitted. Parties to notify the court when you wish the court to read the stipulation to the jury.

Jury fees shall be paid daily. Failure to pay jury fees will result in waiver of jury.

TARA N. CRUZ vs. CARVANA, LLC, ET AL.
Case No. CU25-05498

Demurrer to Second Amended Complaint

TENTATIVE RULING

Parties to appear.

Defendant GENERAL MOTORS COMPANY (“GM”) demurs to Plaintiff TARA CRUZ’s second amended complaint (“2AC”) alleging causes of action for (1) violation of the Song-Beverly Consumer Warranty Act, (2) strict product liability, (3) unfair competition, (4) Consumer Legal Remedies Act (“CLRA”) violations, and (5) fraud.

Summarized, Plaintiff alleges that on June 14, 2021 she bought a used 2014 Buick Encore (the “Vehicle”) from Defendant CARVANA, LLC. The Vehicle has needed repair several times since purchase. The Vehicle has a defective PCV pressure regulator diaphragm integrated into the camshaft cover. The Vehicle came with a buyer’s guide that represented it remained covered by the manufacturer’s warranty.

Notice of Tentative Ruling. GM’s notice of demurrer does not advise the recipient that the Solano County Superior Court uses a tentative ruling system, as is required under Local Rule 3.9, subdivision (d). GM is cautioned to observe local rules going forward. Hence, the court has notified the parties to appear.

Legal Standard on Demurrer. “The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint is sufficient if it alleges ultimate rather than evidentiary facts, but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 551, fn. 5 [ultimate facts sufficient].) The Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Statute of Repose – Song Beverly. Code of Civil Procedure section 871.21, subdivision (b) provides a six-year statute of repose for an action covered by section 871.20 (here, effectively, an action for breach of implied warranty under Song-Beverly),

stating that no such action exists later than six years after the date of original delivery of the motor vehicle.

CRUZ bought a used 2014 Buick Encore from CARVANA, a retailer who is not associated to GM. The 2AC admits that the vehicle was pre-owned and in the hands of previous consumers no later than 2018. (2AC at ¶ 22.) In other words, the vehicle was delivered to someone at least by 2018 (and likely much earlier). Six years later would be sometime in 2024, well prior to the filing of this suit on June 13, 2025.

Code of Civil Procedure section 871.21 was adopted September 29, 2024 and became effective January 1, 2025. (See 2024 AB 1755). It created a statute of repose, exterminating the right to bring a cause of action under Song-Beverly if brought more than 6 years after delivery of a vehicle. Unlike a statute of limitations, a statute of repose means that after this deadline by operation of law no cause of action can exist. (See *PGA West Residential Assn. v. Hulven Internat. Inc.* (2017) 14 Cal.App.5th 156, 177.) AB 1755 reflected legislative compromises related to the Song-Beverly statutory scheme and mirrors statutory deadlines expressed in the Uniform Commercial Code. (See e.g. Cal. U.Com. Code, § 2607(3)(A).)

The Legislative intent is to make the statute of repose retroactive. To that end, the legislative scheme encompasses “all of...motor vehicles sold in the year 2025 and in all prior years.” (CCP § 871.29(a)(1).)

A statute of repose is different than a statute of limitations. With respect to a statute of limitations, the Legislature may shorten or extend periods of statutes of limitation retrospectively, but when a change is made retroactive there must be a reasonable time permitted for the party affected to avail himself of a remedy before the statute takes effect. (*Rosefield Packing Co. v. Superior Court* (1935) 4 Cal.2d 120, 122.) In contrast, where a cause of action is abated by legislative action, there is no vested right that is impacted if the legislative action takes effect prior to entry of judgment. (See *Zipperer v. County of Santa Clara* (2005) 133 Cal.App.4th 1013, 1024 [statutory remedies may be abated by legislative action; no vested right to statutory penalty or forfeiture].) No vested right can exist to a statutory cause of action that the Legislature has eliminated. (*Zipperer* at p. 1024; *Willcox v. Edwards* (1912) 162 Cal.455, 466 [statute which repeals earlier one expressly or by implication without savings clause cannot support proceeds not already prosecuted to final judgment].)

Even applying a traditional due process analysis associated with changes in statutes of limitation, it does not violate due process to apply 871.21 to this action. Here, Plaintiff alleges she had problems with the Encore the day after she bought it on June 14, 2021. Well before the 2025 effective date of the amendment, Plaintiff had the opportunity to bring her claims. Additionally, Plaintiff could have filed suit during the several intervening months between adoption of AB1755 and its effective date on January 1, 2025. Given there was previously a 4 year statute of limitations for her Song Beverly cause of action which arguably accrued as late/early as 2021, it is not unfair to apply a 6 year statute of repose.

Based upon applicability of 871.21 to Plaintiff's first cause of action, Defendant's demurrer is SUSTAINED WITHOUT LEAVE TO AMEND.

Strict Liability: Failure to Warn/Design Defect. Strict liability for a design defect in a product applies to personal injuries arising from the defect, not to economic damages. No physical injury or damage to personal property is alleged in the 2AC. A plaintiff may recover in tort for physical injury or property damage, but not for purely economic losses that may be recovered in a contract, warranty or statutorily authorized cause of action. (See *Seely v. White Motor Co.* (1965) 63 Cal.2d 9, 18; see also *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905 (citations omitted) [no recovery in tort for negligently inflicted purely economic losses]; *County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318.)

The demurrer to the second cause of action for strict liability is SUSTAINED WITHOUT LEAVE TO AMEND.

Fraudulent Concealment. Plaintiff alleges that she took the Vehicle in for repairs many times between June and December 2021. (2AC at ¶ 34.) December 2021 appears to be the latest point in time that Plaintiff realized or should have realized the Vehicle had a defect. That date is more than three years before the June 13, 2025 date of filing for the original complaint in this action. The fraud cause of action as stated is barred by the three-year statute of limitations.

The elements of fraudulent concealment are also not sufficiently alleged here. There is no showing of a transactional relationship between the parties where Plaintiff does not allege obtaining the Vehicle from GM or its authorized dealer. (*Dhital v. Nissan North America Inc.* (2022) 84 Cal.App.5th 828, 844 [pleading standards for fraudulent concealment in lemon law action including transactional relationship via purchase from dealer].)

The demurrer to the fourth cause of action for concealment is SUSTAINED WITHOUT LEAVE TO AMEND.

Consumer Legal Remedies Act. GM's argument that Plaintiff fails to allege that she gave it thirty days' notice of its supposed CLRA violation and thus a chance to cure is not applicable to this situation. Civil Code section 1782 only compels a consumer to provide pre-suit notice before filing an action "for damages" and Plaintiff specifically states that she seeks injunctive relief only for her CLRA claim. (2AC at ¶ 62.)

However, the alleged CLRA violation is the familiar alleged failure to disclose known information about the Vehicle's defect. (*Id.* at ¶ 59.) The same failure to allege a transaction between the parties defeats the CLRA cause of action as pled. Plaintiff alleges that she would not have purchased the Vehicle had she known about the defect, but she never alleges how GM was involved in the transaction whereby she purchased

the Vehicle. (CACI 4700 [CLRA applies to transactions resulting or intending to result in sale or lease of goods to consumer].)

The demurrer to the fourth cause of action for Consumer Legal Remedies Act-Concealment is SUSTAINED WITHOUT LEAVE TO AMEND.

Unfair Competition Law. Business and Professions Code section 17200, the “unfair competition law,” prohibits any activity that can be properly called a business practice and at the same time is forbidden by law. (*Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 321.) The unfair competition law essentially borrows violations of other laws and makes them independently actionable when done pursuant to business activity; virtually any law can serve as the predicate for an unfair competition cause of action. (*Troyk v. Farmers Group, Inc.* (2009) 171 Cal.App.4th 1305, 1335.)

As the court has sustained GM’s demurrer to each alleged cause of action, the UCL which was derivative of the other causes of action, also fails.

The demurrer to the third cause of action for Unfair Competition is SUSTAINED WITHOUT LEAVE TO AMEND.

Leave to Amend. Leave to amend is appropriate where pleading deficiencies are amenable to correction. (*Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768.) It is the pleading party’s burden to demonstrate a possibility that identified defects could be corrected by amendment. (*Murphy v. Twitter, Inc.* (2018) 60 Cal.App.5th 12, 42.) Plaintiff offers no directed argument as to how she could correct any identified deficiencies, only generally stating she can add facts if given leave to amend.

Conclusion. GM’s demurrer is sustained without leave to amend as to each cause of action plead in the 2AC.

GM shall prepare the order after hearing and submit it directly to the court and is excused with compliance with CRC 3.112. GM is the prevailing party.

Department 8 is inviting you to a scheduled ZoomGov meeting.

<https://solano-courts-ca-gov.zoomgov.com/j/1619704645?pwd=aUwyYUFUcU5Eazl6SEkrcmcrRnRLUT09>

Meeting ID: 161 970 4645

Passcode: 675002